

**L**ATE LAST YEAR, AN ALLEGED spat between BharatPe's former MD Ashneer Grover and Kotak Wealth Management brought to the fore the issue of leveraged finance in the initial public offering (IPO) arena in India. While the spat soon turned into an ugly legal battle with the jury still out on who was at fault, the

controversy made many in the markets realise that IPO financing was not just some short-term lending activity. It was an industry where billions of dollars were at stake whenever an IPO hit the market.

In IPO financing, high net-worth individuals (HNIs)—non-institutional investors (NIIs) in market parlance—borrow money from non-banking financial companies (NBFCs) to put in bids worth hundreds of crores in a public issue. Such lending is typically done for just 7-9 days depending on the IPO timeline and comes at a significant cost—around 9 per cent per annum—but is still quite popular among HNIs. Industry estimates peg the cumulative lending amount to be around ₹50,000 crore for a mid-sized issue with good demand.

However, the dynamics are set to change as concerted efforts of two regulatory bodies—the Reserve Bank of India (RBI) and the Securities and Exchange Board of India (Sebi)—are set to make it increasingly difficult for NBFCs to lend thousands of crores in IPO financing.

More importantly, the general public—or the average retail investor—is set to be the biggest beneficiary in what is anyway called a public issue.

Last October, the RBI issued a circular with a non-descript title, 'Scale Based Regulation (SBR): A Revised Regulatory Framework for NBFCs'. It was a 14-page document, but a small two-line clause on the fourth page made many NBFCs experience a flatline. "There shall be a ceiling of ₹1 crore per borrower for financing subscription to Initial Public Offer (IPO). NBFCs can fix more conservative limits," stated the RBI circular. "The instructions relating to ceiling on IPO funding... shall come into effect from April 01, 2022," it added.

Just two lines but the message for the NBFCs was loud and clear. The regulator was not comfortable with the kind of exuberance—irrational, according to many—that was witnessed in many IPOs. The exuberance is corroborated by the fact that some of the IPOs last year and even in the distant past saw the HNI portion getting subscribed between 500 times and 900 times even as the overall issue and other investor category segments saw more realistic bidding numbers (see *Eye-Popping Gains*). For example, the IPO of Paras Defence & Space Technologies was subscribed nearly 214 times overall,

but the HNI, QIB and retail segments were subscribed 955, 70.75 and 100.8 times, respectively. A similar trend was seen in the IPOs of Latent View Analytics, Tega Industries and MTAR Technologies, among others.

Meanwhile, a couple of months after the RBI diktat came a Sebi announcement of similar timbre. Sebi revised the allocation methodology for HNIs—one-third of the HNI portion would be reserved for applicants with a bid size of more than ₹2 lakh and up to ₹10 lakh, while the remaining two-thirds would be reserved for applicants with application size of over ₹10 lakh.

## THE MATH & THE MECHANICS

IPO financing is a high-stakes game where NBFCs mint a lot of money. That it is lucrative can be gauged from the fact that most of the leading broking firms have an NBFC arm through which they lend money to their HNI clients. Interestingly, NBFCs make a profit even if the HNIs don't, because NBFCs collect an upfront margin from them, and the lending obviously comes at a cost.

Here is how it all happens. Let's say an HNI wants to put in a bid of ₹100 crore in an IPO. The NBFC tries to ascertain the expected demand for the IPO and computes the margin accordingly. If the HNI segment is expected to be subscribed 500 times, then the initial margin would be the total bid amount divided by the expected subscription—in this particular case, ₹20 lakh. The balance money can be borrowed by the HNI at around 8-9 per cent per annum—mega-sized IPOs with huge demand see a lower rate of interest—with the typical borrowing period being 7-9 days depending on the IPO timeline. Incidentally, the HNI has to transfer the interest component also to the NBFC before borrowing the money. So, the NBFC pockets the initial margin and the interest component even before the shares are allotted.

Meanwhile, to meet the borrowing demand ahead of any IPO, NBFCs typically raise funds by issuing commercial paper (CP) to mutual funds. The interest component on such issuances is in the range of 4.75-5.5 per cent. With the money being lent to HNIs at around 8-9 per cent, NBFCs enjoy a decent spread in this leg of the transaction as well.

For NBFCs, financing HNIs in IPOs is an assured income, but with both RBI and Sebi breathing down their necks, the dynamics of the industry are set to change. "There would be a definite impact on IPO financing as the price mechanics would change. From a financing point of view, elements like quantum of margin and cost of finance could change," says Suvajit Ray, Head-Product & Distribution, IIFL Securities. "Larger NBFCs that do not have access to captive broking clients might look at tying up with various broking firms, including the regional ones that would be looking to finance their clien-